

cloud as it does to reach it. I could have sold a year earlier than I did and looked elsewhere for a more promising trade.

Wex Inc

Wex Inc. (WEX) was a poorly executed trade. I bought into the stock using a buy stop and got in at the breakout, right on time. Price threw back and busted the upward breakout when it slid below the bottom of the rectangle, dropping 7%. The stock recovered and made a new high, then dropped 36%. *Ouch*. This trade was meant as another long-term holding, and thankfully, I held only a small position, too.

I waited out the decline and rode the stock back up. In 2019, it formed an unconfirmed head-and-shoulders top, so I sold the thing and pocketed 7%. Five months later, the stock was 65% below where I sold, a casualty of the Covid-19 pandemic. Thank goodness I sold.

- Lesson: Bad trades often go bad quickly. The smart play would have been to let a stop take me out of the trade when it closed below the rectangle bottom. I would have taken a loss but traded it well. Even though this was a small position and I made a profit, the 15-month hold time was too long for such a meager return.

Labor Ready

A long and choppy rectangle top formed in Labor Ready (LRW) starting from June 2005 to the spring of 2006. When the stock broke out of the congestion region, I bought. From my notes: “The only problem I see with the trade is the market direction [is] predicted to be down.”

Four days later, I was out of the trade for a 5% loss. Well, spit! What happened? From my notebook: “Sell reason: Failure swing in RSI [Wilder's relative strength index] suggested price would drop. With the consolidation region showing hints of moving down, I felt it was time to sell.

Unfortunately, I didn't sell yesterday but dumped it today using my broker's 'market on close' selling option.

- “Lesson: Since I saw the failure swing, I should have sold at market close (MOC: market-on-close) the day before I did. Had I done that, I